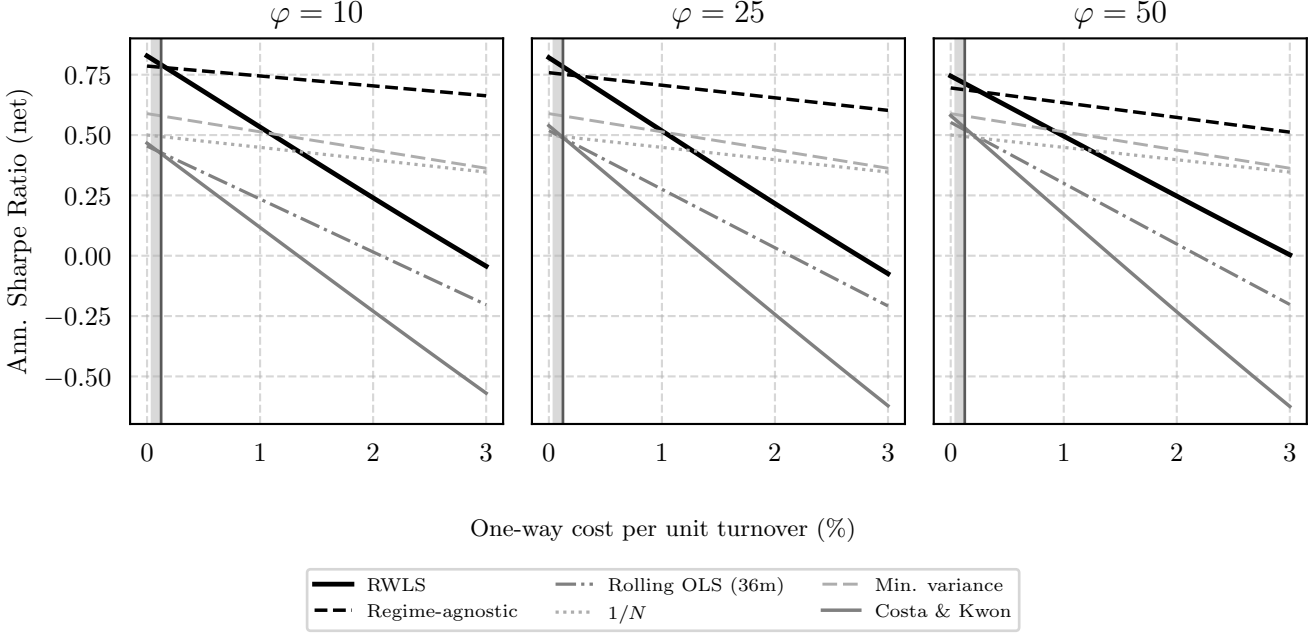

$\varphi = 10$
$\varphi = 25$
$\varphi = 50$
Ann. Sharpe Ratio (net)
0.75
0.50
0.25
0.00
−0.25
−0.50
0
1
2
3
One-way cost per unit turnover (%)
RWLS
Regime-agnostic
Rolling OLS (36m)
$1/N$
Min. variance
Costa & Kwon